www.tntextbooks.in

18. A trader received his bank statement on 31st December, 2017 which showed an overdraft balance of ` 12,000. On the same day, his cash book showed a debit balance of `2,000.

Analyse the following transactions. Choose the possible causes and prepare a bank reconciliation statement to show the causes of differences.

(a) Cheque deposited for ` 2,000 on 21st December, 2017. Bank credited the same on 26th December, 2017.

(b) Cheque issued for payment on 26th December, 2017 amounting to ` 2,500, not yet presented until 31st, December, 2017.

(c) Bank charges amounting to ` 200 not yet entered in the cash book.

(d) Online payment for ` 1,500 entered twice in the cash book.

(e) Cheque deposited amounting to ` 1,000, but omitted in the cash book. The same cheque was dishonoured by bank, but not yet entered in cash book.

(f) Cheque deposited, not yet credited by bank amounting to ` 17,800.



Student activity

Think: Ram enterprises received a bank statement on 31st March, 2018, which showed a credit balance of ` 13,500. On the same date, the balance as per cash book was ` 11,000.

Think of minimum five possible causes of difference [with amount] between these two balances.